

CURRENT MARKET PRICE (CMP)	STRIKE PRICE + PREMIUM - CMP = PROFIT/ LOSS	REMARKS
₹90	$₹100 + ₹10 - ₹90 = ₹20$ ₹10	Profit of Premium because the buyer will not exercise the option.
₹100	$₹100 + ₹10 - ₹100 = ₹10$	The seller will profit as the option will not be exercised.
₹105	$₹100 + ₹10 - ₹105 = ₹5$	The profits for the seller will start to reduce as the seller will have to payoff a certain amount to the buyer.
₹110	$₹100 + ₹10 - ₹110 = ₹0$	At this point, neither buyer nor seller will make any profits or losses. This is the break-even point for all parties.
₹120	$₹100 - ₹10 - ₹120 = (₹10)$	Beyond this point, if the price continues to rise, the seller will start incurring losses. The seller can incur infinite losses

THE LOSSES OF THE SELLER ARE UNLIMITED BEYOND BREAK-EVEN POINT I.E. ₹110 WITH RESPECT TO THE CHANGE IN MARKET PRICE.

This way we can calculate payoffs at different prices and understand the payoff charts for our options position.